A Nikkei of 100,000 is no longer a fantasy

NIKKEI 225 / SCENARIO | Starting from the October 2, 2026 close of ¥68,309

Current	Target	Multiple
¥68,309	¥100,000	1.46x
+46.4% to ¥100,000	Gap: ¥31,691	Roughly 50% higher

100,000 is about 1.46 times, not 1.5 times.

If the current level is already close to 70,000, the index does not need to double from a much lower starting point. If earnings growth and stock valuations hold up for several years, the figure comes within numerical reach.

The focus is not “will it rise?” but “over how many years, and what must grow to get there?”

What annual return reaches 100,000?

REQUIRED RETURN

Period	Annual return	Interpretation
3 years	+13.5% a year	a very strong rise is needed.
5 years	+7.9% a year	a level that can realistically be discussed.
7 years	+5.6% a year	a longer horizon lowers the hurdle.

Key point

Reaching 100,000 in five years requires compound growth of about 7.9% annually. It does not require repeated annual gains of 20-30%. If earnings keep growing and the P/E ratio does not collapse, reaching the target becomes a possibility to consider.

Earnings and valuation drive the Nikkei

EPS × PER | Share price ≈ EPS × P/E ratio

Two broad routes

For the index to reach 100,000, companies’ earnings per share (EPS) can grow, or the valuation multiple investors pay (P/E) can rise. If both happen, the rise accelerates.

Route A: EPS growth

Higher sales, price increases, productivity and share buybacks.

Route B: a higher P/E ratio

Growth expectations, capital efficiency and market valuation.

Example: EPS grows 7% annually

Even with an unchanged P/E ratio, earnings become about 1.46 times larger in around 5.7 years. The index would theoretically approach the multiple corresponding to 100,000.

This is an example of the conditions needed, calculated using compounding, not a forecast.

What could block the path to 100,000?

WHAT COULD BREAK THE CASE

Earnings fail to grow

Wages, raw materials and interest costs squeeze profits, halting EPS growth.

The P/E ratio contracts

Higher interest rates or risk aversion reduce the valuation of the same earnings.

A stronger yen and weaker external demand

Yen-translated earnings at exporters or overseas demand could weaken.

High-priced shares fall back

The Nikkei is strongly affected by certain high-priced stocks.

Conclusion

Reaching 100,000 in 1-2 years would require substantial earnings growth or higher valuations. Over 5-7 years, the calculation requires compound growth of roughly 5-8% annually. 100,000 is not “just around the corner,” but neither is it an absurd figure anymore.

A Nikkei of 100,000 does not mean all Japanese stocks rise uniformly by 46%.